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Lockheed Aims to Mend Fences With Pentagon Over F-35 Costs

Also reports quarterly profit above analysts' estimates

By Doug Cameron

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A Lockheed Martin F-35B stealth fighter. The defense company said sales of fighter jets and weapons overseas continued to rise. ISSEI KATO/REUTERS

Lockheed Martin Corp. LMT **-0.36%** ▼ executives pledged to resolve a dispute with Pentagon officials that has halted deliveries of F-35 combat jets.

The Defense Department has toughened criticism of the jet's running costs in recent months. The discovery of a corrosion problem affecting jets that have already been delivered has further complicated negotiations over the multibillion-dollar sale of the next batch of F-35's.

Between five and 10 planes remain undelivered at Lockheed's huge facility near Fort Worth, Texas, because the U.S. Air Force won't accept them until the repair issue is resolved. The U.S. and a number of allies plan to buy as many as 3,000 of the F-35 jets, and the program already accounts for a quarter of Lockheed's sales.

Lockheed Chief Executive Marillyn Hewson said the defense company still expects to deliver 90 of the planes this year. "It's not affecting production," Ms. Hewson said. "We'll get resolution on that."

Lockheed on reported forecast-beating earnings on Tuesday and slightly raised its full-year guidance.

Lockheed shares reversed an early gain to nearly 7% by midday, weighed down by the F-35's problems and a decision to leave Lockheed's closely watched guidance for operating cash flow unchanged at \$3 billion for the year.

The company and its rivals have performed well in recent quarters as military spending has increased. Much of the cash has gone to stock buybacks and higher dividends. Lockheed also pre-funded its pension plan with \$1.5 billion during the quarter to take advantage of tax reforms that have reduced its effective rate to around 16%.

The Pentagon's 2018 budget and planned spending in 2019 have boosted opportunities for contractors, with Lockheed identifying around \$7 billion in unexpected potential deals. However, Ms. Hewson acknowledged that not much of that spending is earmarked for new programs that could generate revenue for years to come.

She also quashed speculation about succession at the defense giant, which tweaked language in its last proxy to indicate a chief executive need not depart at age 65. "I intend to stay on longer," said Ms. Hewson, who turns 65 this year.

Her comments came as Lockheed reported a profit of \$1.16 billion in the quarter, up from \$789 million a year earlier, with per-share earnings climbing to \$4.02 from \$2.69,

well above the \$3.39 consensus among analysts.

Full-year sales guidance was boosted to a range of \$50.35 billion to \$51.85 billion, a rise of 0.6% at the midpoint, with per-share earnings now expected to be from \$15.80 to \$16.10.

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